

The complaint

Mr S has complained that Aviva Insurance Limited unreasonably refused to deal with his theft claim under his motor policy, along with renewing his policy automatically after he requested his policy should not be automatically renewed. Mr S has also complained that the cancellation refund was not backdated to the date his theft claim was refused by Aviva and that he was told his theft claim wouldn't be dealt with if he cancelled the policy.

Mr S is represented by Mrs K the named driver on the policy. But for ease of reference I shall just mention Mr S wherever possible.

What happened

Mr S' car was stolen on 16 September 2023. He said he was told by Aviva that he needed to continue to pay his premium instalments every month until the policy was due for renewal on 25 April 2024. Mr S then cancelled his policy on 8 May 2024. Aviva backdated the cancellation to the 25 April 2024. It agreed Mr S asked for his policy to not be automatically renewed in April 2024. It then extended the backdating of his policy to October 2023 when it had made its decision on his theft claim.

Aviva's policy required Mr S to have a tracker on his car. Initially Mr S said he didn't have a tracker but then said he did. On this basis Aviva wanted to see evidence of the tracker before it would deal with his theft claim.

Dissatisfied, Mr S brought his complaint to us. The investigator issued his first view on 18 June 2025.

In relation to Aviva refusing to deal with the theft of Mr S' car the investigator was of the view that as Aviva's policy didn't provide any criteria for what an Aviva approved tracker was, and Aviva didn't respond to the investigator's queries for clarity on this, then it wasn't fair that Aviva refused to deal with Mr S' claim for the theft of his car.

In relation to Mr S' complaint that Aviva automatically renewed the policy when he asked it not to, he noted Aviva agreed to backdate the cancellation to the renewal date and paid £75 compensation. Mr S said he was never paid that £75 compensation. Aviva agreed it didn't pay it because it was waiting for his bank details to effect the payment. Aviva then agreed if Mr S didn't respond it would issue a cheque instead. The investigator thought £75 compensation was fair. Aviva said it would pay a further £50 compensation for not responding to Mr S' further issues over this which doesn't seem to have been paid.

He noted he had asked Aviva for the call recordings concerning Mr S being told he would need to keep paying the premium until his theft claim had been settled. Aviva didn't respond to that, so the investigator wasn't able to say Aviva had been fair here.

So he concluded that Aviva should reconsider Mr S' theft claim of his car with a view to paying it and adding interest on the settlement amount. And it should ensure it paid Mr S the £75 and £50 compensation along with a further £100 compensation for not responding to Mr

S' complaint over having to continue to pay his premium instalments.

Aviva never responded to the investigator's view for some time. Then it did and provided further information and the investigator issued his second view. He could see that Aviva had asked Mr S for evidence the tracker was set up and working which he felt Mr S wasn't able to show adequately. Therefore he thought Aviva acted fairly in not dealing with Mr S' theft claim.

Given it was clear Aviva did backdate the cancellation of the policy to the date it decided Mr S' theft claim, the investigator didn't think Aviva needed to pay Mr S the £100 compensation he recommended in his first view.

The investigator could see Aviva showed it paid Mr S the £50 compensation it originally awarded him, but he couldn't see Aviva had yet paid the £75 it had awarded him so he thought Aviva should organise the £75 payment. Otherwise he didn't think Aviva should do anything more.

Mr S remained dissatisfied and asked for an ombudsman's decision, so his complaint has been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm not upholding this complaint for much the same reasons as the investigator. I do appreciate and understand that Mr S will be disappointed, so I'll now explain why.

First, I think it's worthwhile to mention that this complaint was severely delayed due to the lack of information from Aviva initially and then its lack of response to the investigator's view. That isn't helpful or necessary to anyone in order to work out what happened and to be able to resolve the consequent complaints without such an unnecessary delay.

The theft claim

The main and substantive issue is Mr S' claim for the theft of his car. This claim and how it was handled then gave rise to the other parts of Mr S' complaint, so I shall deal with this first.

It is the policyholder's duty (as in Mr S) to show that the theft of his car was covered by the policy. Mr S chose this policy with Aviva in order to insure his car. In common with many other policies depending on the type of car to be insured, Aviva's policy required Mr S to have a tracker fitted to his car in the renewal invite for 2023 and detailed this in the policy renewal schedule as follows:

"Clauses applicable

The following are special terms and conditions which should be read in conjunction with your Policy Booklet.

Clauses applicable to the Vehicles section

Security – Requirement for an Aviva Approved Tracking Device

We will not pay under Section 1 of the policy for loss or damage to vehicle registration(s) [registration number of Mr S' car] caused by theft unless at the time of the theft an Aviva approved tracking device is fitted, in operation, and any subscription to the system operator has been maintained."

This meant it was for Mr S to show he had a tracker fitted which was operating and that its subscription was maintained. Mr S told Aviva in 2021 when this policy started that he was planning to buy a tracker and Aviva told him he needed to do so within 30 days. So that shows Mr S was always aware a tracker was required and that it was his responsibility. Mrs K in a phone call with Aviva on 19 September 2023 confirmed to Aviva that Mr S had bought a tracker but that it didn't work so he didn't have a tracker on his car. She confirmed it wasn't set up or installed in the car too. I consider this is clear evidence that the duty to have the tracker fitted to the car simply wasn't done by Mr S.

Following this Mr S attempted to show he had a tracker via the invoice from the car dealership but this invoice for £500 never specified it was for a tracker. When Aviva asked for evidence that the tracker was active when the car was stolen, Mr S showed Aviva screenshots of a tracker app. Aviva thought these images were of a basic tracking device and they didn't show that the tracker was registered to Mr S' car or indeed any car.

So it's clear to me that it's most likely no tracker was fitted to Mr S' car that worked and was properly maintained. In order to pay claims for the theft of the insured car, Aviva's policy simply required an appropriate tracker to be fitted to the car. This in turn would mean it was more likely the car could be traced in the event of a theft leading the police to the thieves also, notwithstanding that thieves do try and remove trackers. It helps the process of slowing down an effective theft. So the premium Mr S had to pay Aviva for his motor policy would have been calculated on the basis a tracker was fitted too and ensuring Mr S paid a lower premium for his policy that he might have paid to Aviva or any other insurer if he had been upfront about the fact he didn't have any working tracker on his car.

That in turn means there was nothing wrong in Aviva deciding not to pay Mr S for the theft of his car as Mr S simply couldn't show he had any tracker and Mrs K had already told Aviva there was no working tracker on the car. So that means Mr S hadn't kept to the policy condition that an approved tracker was fitted and was working properly and that its subscription was maintained. I consider therefore Aviva was under no duty to pay Mr S for this theft claim, given Mr S didn't adhere to the policy terms.

Mr S' subsequent complaints

Being told to continue to pay the monthly premium instalments

When we buy any insurance policy the premium is actually payable upfront. So it's a concession by many insurers to allow the premium to be paid by instalments under a credit agreement like Mr S was doing in paying his premium for this policy with Aviva. In the event of something like a theft claim the policyholder needs to ensure the entire premium is paid if they are not insuring their new car under the same policy. This is because the insured event has occurred and the market value of the car that was insured and stolen has been paid by the insurer.

Therefore I don't consider it was wrong that initially Mr S was told to continue to pay his premium until his claim was sorted out. It was however wrong of the Aviva adviser to say the claim wouldn't be paid unless the premium kept being paid as the remaining premium could have been deducted from the claim payment. However I don't consider this mistake warrants any compensation.

I also think it was right the premium refund was only backdated to Aviva's decision on the theft claim. This is because, that up to the point in time of the theft of the car, Mr S was properly insured as required by law in driving his car to include being insured for any third party's damage etc. Therefore he availed of that insurance so there is no reason to backdate the refund of premium to anything before the date of the theft of the car.

The cancellation of the policy given Mr S didn't want it automatically renewed and the backdating of the premium refund

Aviva acknowledged it should not have automatically renewed Mr S' policy in April 2024. So when Mr S cancelled his policy in May 2024, Aviva backdated the cancellation to October 2023 when it decided Mr S' claim for the theft of his car. It also refunded the premium paid from October 2023 to May 2024 in November 2024. I consider this was appropriate and therefore there is nothing further Aviva needs to do with this part of Mr S' complaint.

Compensation not paid

Mr S said he never received the £50 compensation Aviva said it was awarding him for not responding to Mrs K's email concerning the backdating of the premium refund given the cancellation. However Aviva has shown us it paid this to Mr S on 19 January 2024. Aviva agreed it never paid Mr S the £75 compensation it had awarded him for automatically renewing his policy when he had specifically told it not to. So it still needs to do this. I consider the amounts of both of these compensation payments are reasonable and in line with our approach to compensation which is more fully detailed on our website. So I don't consider that Aviva needs to pay any further compensation.

Conclusion

I don't consider Aviva did anything wrong in not dealing with or paying Mr S' claim for the theft of his car. This is because it's clear to me that Mr S did not have any tracker on his car that was stolen, as the policy required.

Save for the physical payment of £75 compensation to Mr S, which Aviva must now pay to Mr S as it confirmed it would do, I consider Aviva sorted out the policy cancellation and backdating of the premium refund appropriately.

My final decision

So, for these reasons, it's my final decision that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr S to accept or reject my decision before 5 December 2025.

Rona Doyle
Ombudsman